

9 & 9A Stonegate, York, YO1 8AN

YO1 8AN

OFFICE -> RESIDENTIAL CONVERSION

5 units | 3,122 sq ft NIA

GDV	£1,370,000
Total Development Cost	£1,064,655
Profit on Cost	28.7%
Profit on GDV	22.3%
IRR (Annual)	n/a
Equity Contributed	£1,049,655

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0. Report Provenance

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1. Executive Summary

This memorandum presents the investment case for the acquisition and conversion of 9 & 9A Stonegate, York, YO1 8AN from office use to 5 residential units under Permitted Development Rights.

The Ask

Total development cost is £1,064,655, funded through £1,049,655 equity and peak senior debt of £15,000 (bridging loan), representing gross LTC of 1.4%.

Use of Funds

Category	Amount	% of Total
Acquisition (inc. SDLT)	£447,875	42.1%
Construction	£573,300	53.8%
Professional Fees	£26,000	2.4%
Statutory Costs	£2,480	0.2%
Selling Costs	£0	0.0%
Finance Costs	£15,000	1.4%
Total	£1,064,655	100.0%

Headline Returns

GDV of £1,370,000 against total development cost of £1,064,655 generates a profit of £305,345 (unrealised — subject to refinance/valuation), equating to 28.7% profit on cost and 22.3% profit on GDV. Annualised IRR is not available (no sign change in equity flows), with an unrealised return on equity of 29.1% over a 12-month programme. That return on equity is an accounting return on the value created, not cash distributed to equity: it is stated before any realisation event and must not be read as a distributed return.

Exit

Primary exit: Retention of all units as buy-to-let investments.

2. The Opportunity

The property at 9 & 9A Stonegate, York, YO1 8AN is a office premises being offered at £425,000 (Guide price). The building comprises 3 storeys with a gross floor area of approximately 500 m² (5,382 sq ft).

Tenure is freehold. EPC rating: C. Vacancy status: Occupied.

The subject comprises a mid-terrace period building arranged over three floors, with ground-floor retail accommodation and upper parts in ancillary use.

[Information Required: Market rationale — why this asset, why now, demand drivers]

3. The Scheme

Description

Conversion of existing office premises to 5 residential units comprising a total of 290 m² (3,122 sq ft) net internal area.

Proposed Unit Mix

Unit	Type	NIA (m ²)	NIA (sq ft)	Est. Value	£/sq ft	Notes
1	1-Bed	52	560	£250,000	£446	12 Stonegate, sold Feb 2026
2	1-Bed	50	538	£245,000	£455	—
3	1-Bed	50	538	£245,000	£455	—
4	2-Bed	68	732	£310,000	£424	—
5	2-Bed	70	753	£320,000	£425	—
5 units		290	3,122	£1,370,000	£439	

Planning Position

Eligible for conversion under CLASS MA. Eligibility verdict: AMBER.

Pending verification: Vacant for 3+ months.

[Information Required: Design and specification status, procurement route, contractor]

4. Market Evidence

Comparable evidence should support the revenue assumptions adopted in the appraisal. Each comparable is listed below with address, transaction date, size, achieved £/sq ft, and source.

Comparable Notes from Unit Schedule

1-Bed (52 m²) at £250,000 — 12 Stonegate, sold Feb 2026

[Information Required: Full comparable table: address, date, size (sq ft), £/sq ft, source for each transaction]

[Information Required: Absorption rates, demand drivers, local market commentary]

5. Development Appraisal

Revenue

Item	Amount
Gross Development Value (GDV)	£1,370,000
Blended £/sq ft	£439
Lender-Underwritten GDV	not available — no lender valuation recorded
Variance vs Developer GDV	not available — no lender valuation recorded

Programme: auto-derived from term (spec §6).

Sales phasing: not applicable — no units sold.

Refinance: not modelled.

Headline Cost Estimate

Element	Amount	£/sq ft
ACQUISITION		
Purchase price	£425,000	£136
SDLT	£10,750	£3
Legal fees	£7,500	
Survey	£2,500	
Broker fee rate	0.5%	
Other acquisition costs	£0	
Sub-total acquisition (inc. SDLT, fees)	£447,875	£143
CONSTRUCTION		
Build rate	£1,450/m²	
Contingency rate	10.0%	
Fire safety	£15,000	
Sound insulation	£9,000	
Part L compliance	£7,000	
Sub-total construction (inc. contingency)	£573,300	£184
PROFESSIONAL FEES		
Architect	£12,000	
Structural engineer	£4,500	
M&E	£4,000	

Element	Amount	£/sq ft
Planning consultant	£3,500	
Other professional fees	£2,000	
Sub-total professional fees	£26,000	£8
STATUTORY COSTS		
Prior approval fee per dwelling	£96	
CIL / S106	£0	
Building control	£2,000	
Sub-total statutory costs	£2,480	£1
FINANCE COSTS		
Arrangement fee (2.0% of committed net facility)	£13,646	
Exit fee (1.0% of committed gross facility)	£0	
Interest (9.5% p.a., 12 months)	£1,354	
Ancillary lender fees	£0	
Sub-total finance costs	£15,000	
TOTAL DEVELOPMENT COST	£1,064,655	£341

Appraisal Metrics

Gross Development Value	£1,370,000
Total Development Cost	£1,064,655
Developer Profit (unrealised)	£305,345
Profit on Cost	28.7%
Profit on GDV	22.3%
Return on Equity (unrealised)	29.1%
Equity Multiple	not available — no sale or refinance modelled within the term
IRR (Annual)	not available (no sign change in equity flows)
Residual Land Value (at 20.0% target profit on cost)	£512,762

Residual Land Value Check

At the deal spider's configured target profit on cost of 20.0%, the residual land value is £512,762. The purchase price of £425,000 is £87,762 below the RLV, representing positive headroom of 20.6%. This RLV uses the appraisal's own finance and SDLT (spec §3.18) — it is not re-solved for the residual price.

6. Programme

Timeline

Total programme: 12 months. Peak senior debt of £15,000 is reached in month 12 of the programme. Total interest cost: £1,354.

[Information Required: Key dates — start on site, practical completion, sales/letting period]

[Information Required: Critical path, long-lead items]

Monthly Cashflow

Month	Draw	Cum. Draw	Interest	Closing Bal.	Receipts	Equity CF	Cum. Equity CF
Month 0	£0	£0	£108	£13,754	£0	-£448,355	-£448,355
Month 1	£0	£0	£109	£13,862	£0	-£62,930	-£511,285
Month 2	£0	£0	£110	£13,972	£0	-£62,930	-£574,215
Month 3	£0	£0	£111	£14,083	£0	-£62,930	-£637,145
Month 4	£0	£0	£111	£14,194	£0	-£62,930	-£700,075
Month 5	£0	£0	£112	£14,307	£0	-£62,930	-£763,005
Month 6	£0	£0	£113	£14,420	£0	-£57,330	-£820,335
Month 7	£0	£0	£114	£14,534	£0	-£57,330	-£877,665
Month 8	£0	£0	£115	£14,649	£0	-£57,330	-£934,995
Month 9	£0	£0	£116	£14,765	£0	-£57,330	-£992,325
Month 10	£0	£0	£117	£14,882	£0	-£57,330	-£1,049,655
Month 11	£0	£0	£118	£15,000	£0	£0	-£1,049,655

Cost to Complete

First funding shortfall: none — fully funded throughout. Maximum shortfall: £0.

Month	Remaining Cost	Remaining Funding	Surplus
Month 1	£602,546	£668,630	£66,084
Month 2	£539,507	£668,630	£129,123
Month 3	£476,468	£668,630	£192,163
Month 4	£413,427	£668,630	£255,203
Month 5	£350,386	£668,630	£318,245
Month 6	£287,343	£668,630	£381,287
Month 7	£229,900	£668,630	£438,730
Month 8	£172,456	£668,630	£496,174
Month 9	£115,011	£668,630	£553,620
Month 10	£57,565	£668,630	£611,066
Month 11	£118	£668,630	£668,512
Month 12	£0	£668,630	£668,630

7. Funding Request

Sources & Uses

Sources	Amount	Uses	Amount
Equity contributed	£1,049,655	Acquisition (inc. SDLT)	£447,875
Additional equity required	£0	Construction	£573,300
Funding gap (unfunded)	£0	Professional fees	£26,000
Senior debt draws	£0	Statutory costs	£2,480
Capitalised lender fees	£13,646	Selling costs	£0
Rolled-up interest	£1,354	Finance costs	£15,000
Proceeds applied — selling costs	£0		
Proceeds applied — exit fee	£0		
Total	£1,064,655	Total	£1,064,655

Sources and uses both total £1,064,655 (spec §7 invariant: sum of sources = sum of uses).

Key Lending Metrics

Peak senior debt	£15,000
Net LTC (excl. finance)	1.3%
Gross LTC (incl. finance)	1.4%
LTGDV (developer basis)	1.1%
LTGDV (lender basis)	not available — no lender valuation recorded
Facility headroom (gross)	£667,276
Interest reserve remaining	n/a
Interest rate	9.5% p.a.
Interest type	Rolled up
Facility term	12 months
Senior repayment break-even (price)	not available
Senior break-even, % of lender GDV	n/a
Senior break-even, fall from lender GDV	n/a

Net LTC = cumulative net senior advances (principal draws + capitalised non-interest fees) ÷ development cost before disposal and finance (spec §5.4). Gross LTC = peak gross senior debt ÷ total development cost, TDC (spec §5.5). LTGDV = peak gross senior debt ÷ GDV [developer basis], or ÷ lender-underwritten GDV [lender basis, not available until a lender valuation is recorded]. Senior repayment break-even (spec §5.11) = minimum gross sale price fully redeeming the senior facility, including the disclosed enforcement-cost assumption of £0.

[Information Required: Security package — first charge, debenture, personal guarantees]

[Information Required: Drawdown profile, priority of repayment]

8. Returns

Investor Returns

Internal Rate of Return (IRR, annual)	not available (no sign change in equity flows)
Equity Multiple	not available — no sale or refinance modelled within the term
Return on Equity (unrealised)	29.1%
Profit on Cost	28.7%
Profit on GDV	22.3%
Hold Period	12 months
Total Profit (unrealised)	£305,345

Developer profit break-even (price) not available — no disposal to solve for

Developer profit break-even (spec §5.12) = minimum gross sale price covering total development cost excluding selling costs (re-solved at that price) — lender- and debt-independent; distinct from the senior repayment break-even above.

[Information Required: Waterfall / promote structure (if JV)]

Lender Position — Day-one LTV

Day-one senior advance	£0
Day-one LTV (vs purchase price)	0.0%
Day-one LTV (vs day-one market value)	not available — no day-one market value provided

Day-one LTV = the actual month-0 senior advance (not the committed facility) ÷ purchase price, or ÷ day-one market value where provided (spec §5.1). Dividing the total committed facility by purchase price is not a valid day-one LTV and is never reported.

9. Risk Register

[Information Required: Risk register — no risks have been entered in the calculator]

The risk register should cover: planning risk, cost inflation, contractor insolvency, ground conditions / existing structure, MEES/EPC compliance, building safety (Gateway 2/3 where applicable), sales rate, interest rate, and exit liquidity.

[Information Required: Risks not yet addressed: planning, cost inflation, contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity]

10. Sensitivity & Downside

Every scenario below re-runs the full appraisal engine (runAppraisal) against adjusted GDV/cost/timeline/rate assumptions with the committed facility and equity sources held fixed — debt is never re-sized inside a scenario (spec §11.8). FE = facility exceeded, FG = funding gap, NR = senior debt not repaid within the modelled term.

Scenario Comparison

Metric	Base Case	Upside	Downside
GDV adjustment	+0%	+10%	-10%
Cost adjustment	+0%	-5%	+15%
GDV	£1,370,000	£1,507,000	£1,233,000
Total Development Cost	£1,064,655	£1,037,305	£1,146,550
Profit	£305,345	£469,695	£86,450
Profit on Cost	28.7%	45.3%	7.5%
Profit on GDV	22.3%	31.2%	7.0%
IRR (Annual)	n/a	n/a	n/a
Return on Equity (unrealised)	29.1%	45.9%	7.6%
Flags	Senior not repaid	Senior not repaid	Senior not repaid

Single-Lever Sensitivity (Tornado)

Each lever is moved alone, with every other assumption at base. Swing is the absolute profit difference between the two endpoints; bars are listed widest swing first (spec §12.4).

Lever	Range	Profit at low	Profit at high	Swing
GDV	-10% to +10%	£168,345	£442,345	£274,000
Construction cost	-10% to +10%	£359,575	£251,115	£108,460
Timeline	-3 to +3 months	£305,696	£304,986	£710
Interest rate	-1.0 to +1.0 pp	£305,493	£305,196	£298

Two-Way Sensitivity Matrix: Profit on Cost (%)

	GDV -15%	GDV -10%	GDV -5%	GDV +0%	GDV +5%
Cost -5%	12.2% [NR]	18.8% [NR]	25.4% [NR]	32.0% [NR]	38.6% [NR]
Cost +0%	9.4% [NR]	15.8% [NR]	22.3% [NR]	28.7% [NR]	35.1% [NR]
Cost +5%	6.7% [NR]	12.9% [NR]	19.2% [NR]	25.5% [NR]	31.8% [NR]
Cost +10%	4.1% [NR]	10.2% [NR]	16.3% [NR]	22.4% [NR]	28.6% [NR]
Cost +15%	1.6% [NR]	7.6% [NR]	13.6% [NR]	19.6% [NR]	25.5% [NR]

Two-Way Sensitivity Matrix: LTGDV, developer basis (%)

	GDV -15%	GDV -10%	GDV -5%	GDV +0%	GDV +5%
Cost -5%	1.3% [NR]	1.2% [NR]	1.1% [NR]	1.1% [NR]	1.0% [NR]
Cost +0%	1.3% [NR]	1.2% [NR]	1.1% [NR]	1.1% [NR]	1.0% [NR]
Cost +5%	1.3% [NR]	1.2% [NR]	1.1% [NR]	1.1% [NR]	1.0% [NR]
Cost +10%	1.3% [NR]	1.2% [NR]	1.1% [NR]	1.1% [NR]	1.0% [NR]
Cost +15%	1.3% [NR]	1.2% [NR]	1.1% [NR]	1.1% [NR]	1.0% [NR]

Senior Debt Position

Senior repayment break-even prints under Key Lending Metrics (§7) and developer profit break-even under Investor Returns (§8).

11. Exit Strategy

Primary Exit

Retention of all units as buy-to-let investments.

Contingent Exit

[Information Required: At least one contingent exit strategy with supporting evidence]

Contingent exits may include: sale of individual units to owner-occupiers at revised pricing, bulk sale to a registered provider or institutional PRS investor, or refinance onto long-term BTL debt.

12. Appendices

A. Assumption Schedule

Assumption	Value	Basis
Purchase price	£425,000	Asking price / offer
SDLT	£10,750	Commercial (non-residential) bands — England/NI only (spec §3.3)
Build rate £/m ²	£1,450	Assumption — verify with QS
Contingency	10.0%	On base build cost only
Blended GDV £/sq ft	£439	Comparable evidence — verify
Committed net facility	£682,276	Requires confirmation
RLV target profit	20.0%	deal_spider.target_profit_on_cost_pct (configurable)
Interest rate	9.5% p.a.	Market rate / indicative terms
Interest type	Rolled up	Assumed
Loan term	12 months	Assumed programme duration
Arrangement fee	2.0%	Indicative terms
Exit fee	1.0%	Indicative terms
Construction VAT	Treatment unconfirmed	No reduced-rate saving assumed in this appraisal (spec §3.4)
Purchase VAT / TOGC	Unconfirmed	Purchase price treated as VAT-exempt/TOGC — unconfirmed (spec §3.3)
Agent fee	1.5%	Standard estate agent fee

Assumption	Value	Basis
Legal fee (disposal)	£1,500	Estimate

B. Information Required

#	Item
1	Market rationale — why this asset, why now, demand drivers
2	Full comparable evidence table (address, date, size, £/sq ft, source)
3	Planning permission reference / prior approval application status
4	Design and specification status
5	Procurement route and contractor details
6	Programme — key dates (start on site, PC, sales period)
7	Critical path and long-lead items
8	Sponsor / team track record and CVs
9	Professional team and warranties / collateral warranties
10	Insurance details (CAR, PI, etc.)
11	Security package details
12	Drawdown profile
13	Contingent exit strategy with evidence
14	Risk register gaps: planning, cost inflation, contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity

13. Basis of Preparation and Limitations

This document is a DRAFT development appraisal prepared from the sponsor's own inputs. It is NOT report-safe: one or more hard validations fail, and the figures may be wrong. No lender case has been submitted for credit approval. It is a draft because one or more hard validations fail. It is suitable for sponsor review and for preliminary lender appraisal. It is not a credit paper, a valuation, a cost plan, a tax opinion or a legal report, and no lender should rely on it for a credit decision without independently verifying the matters listed below.

What the figures rest on

#	Limitation
1	Construction cost is a headline rate x area estimate with named allowances, not a priced quantity-surveyed package schedule. No provisional sums, fixed-price coverage or package-level exclusions are modelled.
2	VAT is not modelled as a cash flow. Conversion VAT treatment is fact-specific and no reduced-rate saving is assumed; purchase VAT and any TOGC treatment are unconfirmed. An adverse VAT position would increase the funding requirement.
3	Acquisition tax is calculated on the England and Northern Ireland non-residential SDLT bands. A property in Scotland (LBTT) or Wales (LTT) is not correctly taxed by this version.
4	Areas are taken from the unit schedule and the entered construction area. There is no reconciled area bridge between existing GIA, proposed GIA, net internal area and saleable area.
5	Technical, title, occupation and planning due diligence is recorded as narrative and as a free-form risk register, not as an evidenced schedule with status, owner and date.
6	No lender-underwritten valuation has been provided. Every loan-to-value figure on a lender basis is therefore unavailable rather than assumed from the developer GDV.

#	Limitation
7	The facility terms were migrated from an earlier record and remain unconfirmed. They must be checked against the actual offer before any figure derived from them is relied on.
8	No sale or refinance is modelled within the term, so profit and return on equity are unrealised accounting returns on value created. Equity multiple and IRR are reported as unavailable rather than as zero, because there is no realisation event to measure them against.
9	This appraisal is not report-safe. The reconciliation panel in the application lists the failing validations; they must be cleared before the figures here are quoted.
10	The senior facility is not repaid within the modelled term. Whatever the exit route intends, this appraisal does not demonstrate repayment, and no document showing an unrepaid senior balance at maturity can be issued as a final lender report (spec §13.3).
Prepared under calculation version 2.6.0, input schema v4. Every figure in this document comes from a single server-authoritative run of the appraisal model; no figure is recalculated by the report generator. See the Report Provenance panel on page 1 for the hashes that bind these figures to the stored calculation.	

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